

U.S. Apparel & Specialty Retail

Nike Inc

Rating

Outperform

Price Target



72.00 USD



Aneesha Sherman

+1 917 344 8457

aneesha.sherman@bernsteinsg.com



Jessica Tian

+1 917 344 8413

jessica.tian@bernsteinsg.com



Jed Hodulik

+1 917 344 8594

jed.hodulik@bernsteinsg.com

Nike: Key takeaways from Bernstein's Retail Forum

Last week, we hosted Nike IR at our Retail Forum for investor meetings. The turnaround is ongoing, though the tone was constructive and visibility seemingly improving.

FY27 remains a transition year with Lifestyle (“Sportswear”) in modest decline until clearance is lapped and newness comes in the Spring. While Performance continues to grow across all regions, the ~60% of company sales that is Nike and Jordan Lifestyle product continues to shrink, driven primarily by continued YoY declines in Classics (4 ppt headwind in FY26; we model 2 ppt in FY27). A broad set of new Lifestyle product in Spring 2027, plus moderating YoY declines in Classics, should start to drive growth in Lifestyle in CY27 (we model late FY27 and into FY28). Margins should inflect before sales does, as Nike laps LY’s heavy clearance in all regions and Overheads dollar costs continue to decline.

Regional color: N. America Wholesale continues to grow and DTC declines should moderate. N.Am Wholesale is improving as order books to existing partners (e.g. DKS / FL) and re-established partners (e.g. Run Specialty) continue to grow and business with new partners (e.g. Amazon) keeps building. As DTC sales finish lapping LY’s heavy clearance, the disparity between DTC and Wholesale trends should narrow over the coming quarters. **China continues a multi-Q reset: cutting back low-quality sales, renovating stores, and building a local team.** While marketplace sell-out is positive, sell-in remains negative as NKE cuts low-quality discounted online sales and invests into the market (e.g. store renovations, consumer insights in 20 cities, local design/product team).

Investor Day will include mid-term guide and CY27 product showcase, under new CFO Dave Denton (starting Aug). We believe this is the next catalyst, with a concrete mid-term algo and visibility into product roadmap for the next 12-18 months.

Investment Implications

Outperform, PT \$72

Reported EPS	F26A	F27E	F28E
NKE (USD)	2.10	2.10	2.67

Financials	F26A	F27E	F28E	CAGR
EPS Growth (%)	(3.0)	0.1	27.0	--
Gross Margin (%)	42.9	42.2	43.1	--
Operating Margin (%)	8.2	8.1	9.7	--
Revenues (M)	46,398	46,413	48,163	1.9%

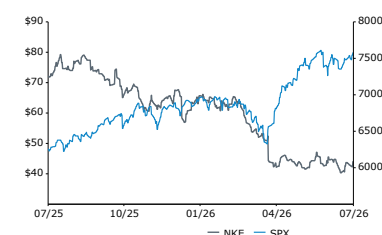
Valuation Metrics	F26A	F27E	F28E
Reported P/E (x)	21.1	21.1	16.6
Div Yield (%)	3.7	3.8	4.0
EV/EBIT (x)	17.8	18.1	14.5
EV/EBITDA (x)	15.0	15.2	12.6
PEG Adjusted (x)	(7.0)	323.5	0.6
PEG Reported (x)	(7.0)	323.5	0.6
FCF Yield (%)	3.27	6.76	7.39

Source: Bloomberg, Bernstein estimates and analysis.

Close Date	10 Jul 2026			
NKE Close Price (USD)	44.37			
Price Target (USD)	72.00			
Upside/(Downside)	62%			
52-Week Range	80.17/40.00			
SPX	7,575.39			
FYE	May			
Div Yield	3.7%			
Market Cap (USD) (M)	65,707			
EV (USD) (M)	67,713			
Performance	YTD	1M	6M	12M
Absolute (%)	(30.4)	0.9	(32.7)	(40.5)
SPX (%)	10.7	4.2	8.7	20.6
Relative (%)	(41.0)	(3.3)	(41.4)	(61.2)

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



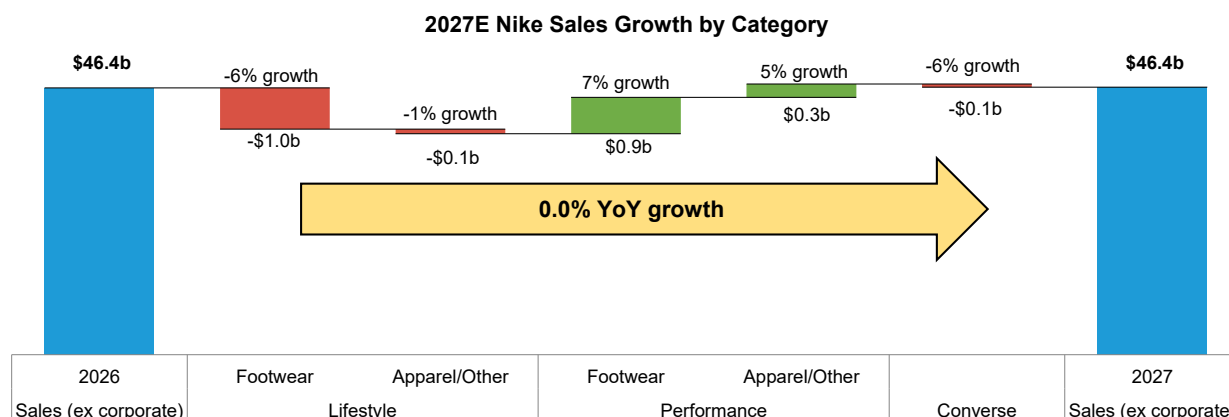
DETAILS

Last week, we hosted Nike Investor Relations at our Bernstein Retail Forum for investor meetings.

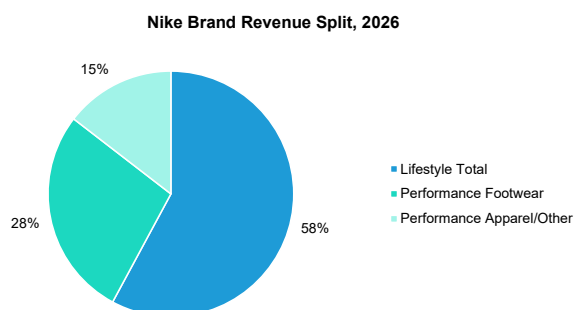
We recap the key takeaways below. Bernstein clients are welcome to reach out to us for more detailed takeaways and a discussion of our views on Nike.

CADENCE OF GROWTH THROUGH THE YEAR

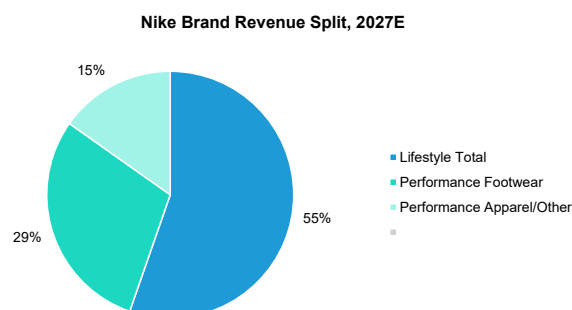
- Lifestyle (~60% of the portfolio) is still expected to decline in FY27 overall (we model ~MSD% declines for FY27 - see Exhibit 1).** Lifestyle Footwear (including Nike and Jordan brands) together with Lifestyle Apparel comprise nearly 60% of sales, with Nike brand alone roughly ~50% and Jordan's Lifestyle portion about HSD%. This part of the business includes the Classics franchises (Air Force 1, Air Jordan 1 and Dunk) which have been severely declining, and together drove a ~\$2b revenue decline (~4 pt headwind on total sales) in FY26. They should continue to decline in FY27 though to a smaller extent and weighted to the first Half, particularly Dunk as it laps a heavy FY25 holiday season, while AF1 and AJ1 have largely stabilized.
- We model a MSD% decline in Lifestyle for FY27, narrowing the drag on total company sales from 4 ppts in FY26 to ~2 ppts in FY27.** As this drag on sales fades, we expect total revenue growth to return to positive territory, which we model happening in H2 FY27.
- China and Europe weigh on sales for Q1, driving the guidance for -LSD% to -MSD%.** The impact of lapping LY's promotional activity in Europe, as well as intentionally cutting sell-in in China, are the main drivers for Q1's decline. N.Am is further along in the cleanup, but Mgmt is still managing sell-through volatility and order books partner by partner, to keep the market clean before new Lifestyle products launch in H2'27. Q1's guide also includes some conservatism given that Q4 exit rate was running below plan and Mgmt assumed a continuation of that trend rather than an improvement. The flip side is that, as Nike pays more attention to quality of sales and full-price selling, gross margin should improve from Q1 onward.
- Q2's sequential deceleration is not an underlying deterioration, but rather a function of tough compares in North Am and Europe.** Nike noted that the underlying business is not expected to worsen in any way in Q2. However, two factors make the compare tougher: (1) EMEA's Digital business is lapping LY's highly promotional record Cyber Week / Black Friday period, when Nike moved high volumes at steep discounts, and (2) North America's Wholesale business is lapping +24% growth (vs roughly +10% in the other quarters) from opening up new accounts and also timing of shipments LY.
- Exhibit 1 shows our view of the moving parts for FY27 total:** Lifestyle (aka Sportswear) declining as detailed above; Performance Footwear growing above market from continued newness in Running, Football and soon Basketball (Caitlin Clark signature product coming in Fall 2026); Performance Apparel growing slightly above market benefiting from World Cup apparel; Converse declining.

EXHIBIT 1: **We expect FY27 growth to be driven by Performance, offset by moderating declines in Lifestyle**

Source: Company disclosures, Bernstein analysis and estimates

EXHIBIT 2: **As of FY26, Lifestyle represents ~60% of Nike Brand sales (incl. Jordan)**

Source: Company disclosures, Bernstein analysis and estimates

EXHIBIT 3: **In FY27, we expect Performance categories to continue gaining share with the sales mix**

Source: Company disclosures, Bernstein analysis and estimates

REGIONAL COLOR: NORTH AMERICA

- North America Wholesale growth is coming from a mix of existing partnerships, re-established relationships, and new business.** Existing partners (e.g. Dick's, Foot Locker) are growing their book of business, with Foot Locker seeing its first quarter of positive sell-in and sell-through in many years. **Re-established partners** such as Running Specialty are also growing their order books with Nike after Nike is now reengaging with them after many years, with localized service, dedicated account teams, and better access to new products. Finally, **new business** also continues to be an area of growth, including Amazon where Nike managed volumes tightly at first in order to create room to grow on a multi-year basis without over-distributing product.
- Gap between sell-in and sell-through, and between Wholesale and DTC sales, should narrow.** Investors have noted this gap over the course of the year, with concerns around over-selling into the channel as sell-through rates (based on real-time data) look lower than NKE's reported sell-in. Mgmt noted that the gap between the two trends this year in part came from the fact that sell-in was lapping prior year cancellations and returns to vendor, which acted as a contra-revenue to depress prior-year sales (hence making FY26 sell-in look higher). Over the coming Qs, Mgmt expects the spread between sell-in and sell-through to narrow. As the YoY reductions in Classics inventory anniversary, DTC sales should stabilize as well. As DTC sales stabilize and Wholesale sell-in rates normalize, the gap between Wholesale and DTC trends should also narrow.
- New Lifestyle product in calendar 2027 should drive both Wholesale and DTC growth.** Nike is managing sell-in carefully this calendar year ahead of planned launches of a range of new Lifestyle (aka Sportswear in Nike nomenclature) franchises in Spring 2027, which should hit Q4 FY27 and then into FY28. Mgmt expects these new launches in the Spring to

drive a boost to Wholesale sell-in, especially for retailers that tend to skew more heavily Lifestyle vs. Performance, as well as a boost to DTC sales. As noted in the prior section, Lifestyle sales growth is expected to be negative for the entire fiscal year 2027, but Mgmt comments suggest that Q4 Lifestyle growth may be positive from this new product (our assumption - not explicitly guided).

REGIONAL COLOR: CHINA

- **What corrections is Nike making to China distribution?** Given some recent media coverage around Nike's distribution presence in China, and several investor questions, Nike shared some more color on the situation in the region. Nike still plans to have a considerable physical retail presence in China (currently ~5k stores that are mostly partner-owned) as well as presence online, both DTC and via platforms including WeChat, Tmall, Taobao, Douyin, JD and Weibo, the vast majority of which are also partner-managed. None of that is expected to change. However, Nike is pulling back from low-quality, promoted touchpoints that in their perception dilute the brand. Some examples: reducing low-margin sales in deep-discount shopping events like 6.18 and 11.11; actively mitigating the amount of Nike product appearing on random discount websites through resellers; avoiding discounting products to match domestic competitors price points just to maintain/gain share.
- **The result will be a more tightly managed, premium, sport-led brand.** Mgmt is not stepping back from broader distribution - in fact they specifically want a wide price architecture that includes not just premium product but also affordable / value-led product in different channels. However, they want to ensure a better rate of full-price sell-through, together with a more premium, sport-led presentation and positioning, that is consistent with how Nike wants the brand to be perceived in China. Mgmt points to the positive traffic and comp store sales in the 100+ remodeled doors in China, which are refocused on sport, local storytelling and newer innovation, as an indication that this repositioning should be successful.
- **New local management and local design model.** Nike has added a local product creation leader in China and expanded its coverage to local teams in ~20 cities to get closer to consumers, gather better local insights, and move more responsively by city and territory. Both on the recent earnings call and during our meetings, Nike spoke about the move towards a more localized China operating model as part of the repositioning of the China market, including more localized product design and creation, which should help Nike become more nimble and responsive in market.

MARGINS

- **GM should improve before topline turns, as Nike is prioritizing high-quality sales over discount-driven sales.** Mgmt expects GM to move directionally positive starting in Q1, supported by lower discounting, better full-price realization, reduced off-price / liquidation headwinds, cleaner inventory and improved channel quality. Particularly in China and Europe, Nike is intentionally pulling back from heavy promotions and reducing YoY discounting, which is a drag on FY27 sales, but supports GM. N.Am margins have already been improving on an underlying basis, excluding tariff noise, as the marketplace cleanup is further along. Over time, lower liquidation and less promo-driven Digital revenue should support GM, with channel mix shift towards Wholesale becoming less of a headwind as DTC comes back into growth.
- **Tariffs will be a headwind in FY27, with guidance assuming a 15% rate after July.** With the Q4 2026 tariff accrual effectively neutralizing the year's tariff costs, tariffs overall will be a margin headwind in FY27 vs. FY26. Guidance assumes a step-up from the current 10% rate to 15% after July. This implies that for Q1, tariffs should be a tailwind (assuming 10% for 2/3 of the quarter and then 15%, lapping last year's >20% rates). For Q2-3, it should be a modest tailwind (assuming 15% this year, lapping last year's >20% rates) and then for Q4 it should be a headwind (lapping the big tariff accrual boosting Q4 2026 margins). Of course, these effects could vary depending on the current Section 301 tariffs which could end up above / below the 15% rate embedded into guidance post-July.
- **SG&A discipline is the main reason Nike can stabilize EPS while revenue is still declining.** Mgmt reiterated flattish YoY EPS growth over the 9-month guided period (Q4'26 - H1'27) despite revenue guided down over that period, reflecting fixed cost discipline and productivity benefits. Q1 Operating Overheads dollars are expected to be down, netting out a HSD % increase in marketing dollars (World Cup investment) while in the remaining of the year FY27, marketing is expected to moderate. Mgmt remains bullish about being able to manage Overheads tightly in the coming year, which should help salvage earnings growth until a revenue inflection comes through.

EXPECTATIONS FOR INVESTOR DAY

- **Investors should expect H2 and mid-term guides at the November Investor Day.** Mgmt reiterated that Nike plans to issue guidance for not only H2 but medium-term, including a growth framework to help investors think through the next phase of top line and earnings growth for the company.
- **Investor Day will also include a detailed look at 2027 pipeline,** particularly product showcases of the new Lifestyle (Sportswear) footwear collections launching in Spring 2027, as well as more on the Sport Offense and category-specific product launches upcoming.
- **Capital allocation will likely remain conservative until the new CFO lays out the framework.** Nike has a strong balance sheet and net cash position, remains committed to the dividend, and has paused buybacks near term despite historically being active in repurchases. There are two tranches of Covid-era debt maturing in FY26, and paying down debt is an option Mgmt is considering, given the higher cost of refinancing. At the Investor Day, the new CFO will clarify capital allocation priorities going forward, including how Nike expects to balance dividend commitment, debt maturities, buybacks and reinvestment.
- **Lack of H2 guidance is tied to CFO transition, rather than lack of visibility.** Nike provided an unusual 9-month guide (Q4 through H2) at Q3 results, rather than a full-year guide, which drove questions about whether this was an indication of a continued lack of visibility. Mgmt noted two reasons for this unusual guide: first, to set up the Investor Day as the catalyst for laying out the broader growth framework, and second, to allow incoming CFO Dave Denton to issue the forward guidance rather than inheriting it.
- **In CFO search, Nike prioritized public-company experience and consumer / retail experience rather than Sportswear expertise.** Nike was looking for someone with extensive CFO experience and consumer sector experience, not necessarily someone with a background in Sportswear. Dave Denton comes from CFO roles at CVS and Lowe's within Consumer, as well as Pfizer. The remainder of Nike's senior leadership team has heavy Nike specific expertise and tenure, including CEO Elliott Hill who has 30+ years at Nike.

We believe this is the next catalyst for the stock, as concrete mid-term numbers and a strong product preview should improve visibility and put some hard numbers behind mid-term expectations.

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 4: Nike Income Statement

Nike Income Statement													
USD in millions, except per share data													
	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027E	2028E
Revenue	32,376	34,350	36,397	39,117	37,403	44,538	46,710	51,217	51,362	46,309	46,398	46,413	48,163
Cost of sales	(17,405)	(19,038)	(20,441)	(21,643)	(21,162)	(24,576)	(25,231)	(28,925)	(28,475)	(26,519)	(26,487)	(26,831)	(27,392)
Gross profit	14,971	15,312	15,956	17,474	16,241	19,962	21,479	22,292	22,887	19,790	19,911	19,582	20,770
Gross margin %	46.2%	44.6%	43.8%	44.7%	43.4%	44.8%	46.0%	43.5%	44.6%	42.7%	42.9%	42.2%	43.1%
Demand creation expense	(3,278)	(3,341)	(3,577)	(3,753)	(3,592)	(3,114)	(3,850)	(4,060)	(4,285)	(4,689)	(4,754)	(4,758)	(4,947)
Operating overhead expense	(7,191)	(7,222)	(7,934)	(8,949)	(9,534)	(9,911)	(10,954)	(12,317)	(12,291)	(11,399)	(11,360)	(11,081)	(11,155)
Total selling and administrative expense	(10,469)	(10,563)	(11,511)	(12,702)	(13,126)	(13,025)	(14,804)	(16,377)	(16,576)	(16,088)	(16,114)	(15,839)	(16,102)
Other income / expense, net	140	196	(66)	78	(139)	(14)	181	280	228	76	53	93	96
EBIT	4,502	4,749	4,445	4,772	3,115	6,937	6,675	5,915	6,311	3,702	3,797	3,743	4,668
EBIT margin	13.9%	13.8%	12.2%	12.2%	8.3%	15.6%	14.3%	11.5%	12.3%	8.0%	8.2%	8.1%	9.7%
Interest income / expense, net	(19)	(59)	(54)	(49)	(89)	(262)	(205)	6	161	107	50	48	64
Income before income taxes	4,623	4,886	4,325	4,801	2,887	6,661	6,651	6,201	6,700	3,885	3,900	3,884	4,828
Income tax expense	(863)	(646)	(2,392)	(772)	(348)	(934)	(605)	(1,131)	(1,000)	(666)	(792)	(777)	(941)
Income tax rate	19%	13%	55%	16%	12%	14%	9%	18%	15%	17%	20%	20%	#DIV/0!
Net income from continuing operations	3,760	4,240	1,933	4,029	2,539	5,727	6,046	5,070	5,700	3,219	3,108	3,106	3,886
Earnings per common share													
Basic	2.21	2.56	1.19	2.55	1.63	3.64	3.83	3.27	3.76	2.17	2.10	2.10	2.67
Diluted	2.16	2.51	1.17	2.49	1.60	3.56	3.75	3.23	3.73	2.16	2.10	2.10	2.67
Weighted average common shares outstanding:													
Basic	1,698	1,658	1,624	1,580	1,559	1,573	1,579	1,552	1,518	1,485	1,480	1,479	1,457
Diluted	1,743	1,692	1,659	1,618	1,592	1,609	1,611	1,570	1,530	1,488	1,481	1,479	1,458
Dividends declared per common share	0.62	0.70	0.78	0.86	0.96	1.07	1.19	1.33	1.45	1.57	1.63	1.70	1.75
Dividend payout	28.0%	27.4%	65.5%	33.7%	58.6%	29.4%	31.1%	40.5%	38.6%	72.4%	77.6%	81.1%	65.8%

Source: Company disclosures, Bernstein analysis and estimates

EXHIBIT 5: Nike Balance Sheet

Nike Balance Sheet													
USD in millions													
	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027E	2028E
Cash, Cash Equivalents, and Short-term Investments	5,457	6,179	5,245	4,663	8,787	13,476	12,997	10,675	11,582	9,151	9,027	10,315	11,324
Accounts Receivable	3,241	3,677	3,498	4,272	2,749	4,463	4,667	4,131	4,427	4,717	5,931	4,832	4,750
Inventories	4,838	5,055	5,261	5,622	7,367	6,854	8,420	8,454	7,519	7,489	7,501	7,571	7,580
Other Current Assets	1,489	1,150	1,130	1,968	1,653	1,498	2,129	1,942	1,854	2,005	2,144	2,089	2,167
Total Current Assets	15,025	16,061	15,134	16,525	20,556	26,291	28,213	25,202	25,382	23,362	24,603	24,807	25,821
Property, Plant and Equipment	3,520	3,989	4,454	4,744	4,866	4,904	4,791	5,081	5,000	4,828	4,796	4,882	4,998
Goodwill and Intangibles	412	422	439	437	497	511	570	555	499	499	499	465	424
Other Non-Current Assets	2,439	2,787	2,509	2,011	5,423	6,034	6,747	6,693	7,229	7,890	8,512	8,354	8,429
Total Non-Current Assets	6,371	7,198	7,402	7,192	10,786	11,449	12,108	12,329	12,728	13,217	13,807	13,701	13,851
Accounts Payable	2,191	2,048	2,279	2,612	2,248	2,836	3,358	2,862	2,851	3,479	3,600	3,528	3,602
Short Term Debt	45	331	342	15	251	2	510	6	1,006	5	2,000	2,000	2,000
Other Current Liabilities	3,122	3,095	3,419	5,239	5,785	6,836	6,862	6,388	6,736	7,082	6,947	6,730	6,887
Total Current Liabilities	5,358	5,474	6,040	7,866	8,284	9,674	10,730	9,256	10,593	10,566	12,547	12,258	12,490
Long Term Debt	2,010	3,471	3,468	3,464	9,406	9,413	8,920	8,927	7,903	7,961	5,942	5,942	5,942
Other Long Term Liabilities	1,770	1,907	3,216	3,347	5,597	5,886	5,390	5,344	5,184	4,839	5,056	4,873	5,057
Total Non-Current Liabilities	3,780	5,378	6,684	6,811	15,003	15,299	14,310	14,271	13,087	12,800	10,998	10,815	10,999
Shareholder's Equity	7,789	8,641	6,387	7,166	8,302	9,968	11,487	12,415	13,412	14,198	14,907	15,888	16,905
Retained Earnings	4,151	3,979	3,517	1,643	(191)	3,179	3,476	1,358	965	(727)	165	(246)	(514)
Other	318	(213)	(92)	231	(56)	(380)	318	231	53	(258)	(207)	(207)	(207)
Total Shareholder's Equity	12,258	12,407	9,812	9,040	8,055	12,767	15,281	14,004	14,430	13,213	14,865	15,434	16,184

Source: Company disclosures, Bernstein analysis and estimates

EXHIBIT 6: **Nike Cash Flow Statement**

Nike Cash Flow Statement													
USD in millions	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027E	2028E
EBITDA	5,151	5,455	5,192	5,477	3,836	7,681	7,392	6,618	7,107	4,477	4,523	4,457	5,382
Cash from Operations	3,096	3,640	4,955	5,903	2,485	6,657	5,188	5,841	7,429	3,698	2,846	5,236	5,611
Cash from Investing	(1,034)	(1,008)	276	(264)	(1,028)	(3,710)	(1,524)	564	894	(275)	(480)	(728)	(882)
Cash from Financing	(2,671)	(1,942)	(4,835)	(5,293)	2,491	(1,459)	(4,836)	(7,447)	(5,888)	(5,820)	(2,284)	(3,148)	(3,772)
FX impact	(105)	(20)	45	(129)	(66)	143	(143)	(91)	(16)	1	(6)	0	0
Net decrease / increase in cash and equivalents	(714)	670	441	217	3,882	1,631	(1,315)	(1,133)	2,419	(2,396)	76	1,360	956
Capex (incl. M&A)	1,143	1,105	1,028	1,119	1,086	695	758	969	812	430	700	800	830
% of Sales	3.5%	3.2%	2.8%	2.9%	2.9%	1.6%	1.6%	1.9%	1.6%	0.9%	1.5%	1.7%	1.7%
Free Cash Flow to the Firm (FCFF)	2,857	2,936	1,937	2,804	2,187	5,453	4,902	4,732	6,029	3,813	1,997	3,899	3,829
FCFF per Share	1.64	1.74	1.17	1.73	1.37	3.39	3.04	3.01	3.94	2.56	1.35	2.64	2.63
Dividend per Share	0.62	0.70	0.78	0.86	0.96	1.07	1.19	1.33	1.45	1.57	1.63	1.70	1.75

Source: Company disclosures, Bernstein analysis and estimates

BERNSTEIN TICKER TABLE

Ticker	Rating	10 Jul 2026		Price Target	TTM Rel. Perf.	Reported EPS				Reported P/E (x)		
		Cur	Closing Price			Cur	2026A	2027E	2028E	2026A	2027E	2028E
NKE (Nike)	O	USD	44.37	72.00	(61.2)%	USD	2.10	2.10	2.67	21.1	21.1	16.6
SPX			7,575.39									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

DISCLOSURE APPENDIX

I. REQUIRED DISCLOSURES

References to "Bernstein" or the "Firm" in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社) and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

Bernstein is part of a joint venture between Société Générale (SG) and AllianceBernstein, L.P. (AB). Unless specifically noted otherwise, for purposes of these disclosures, references to Bernstein's "affiliates" relate to both SG and AB and their respective affiliates.

VALUATION METHODOLOGY**Nike Inc**

We set a \$72 price target using a P/E multiple of 27x our forward FY2028 EPS estimate of \$2.67

RISKS**Nike Inc**

Downside risks: • Slower growth in Sportswear overall • Slower recovery of Nike in China, and continuing loss of market share • Pressure on margins as a result of inflation, freight, channel costs, or other opex headwinds • Share loss to competitors in key markets including North America • Risk of interruption from concentrated supplier base

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**EQUITY RATINGS DEFINITIONS****Bernstein brand**

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/- 15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, and the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp
- Neutral (N): Stock will perform in line with the market index to within +/- 10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

Coverage Suspended: Coverage of a company under the Autonomous research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

Not Covered (NC) denotes companies that are not under coverage.

Autonomous brand common stock ratings are based on a 12-month time horizon.

Autonomous brand – preferred stocks

The Autonomous brand has three categories of preferred stock ratings:

- Outperform (OP): The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous preferred stock ratings are based on a 6-month time horizon.

AUTONOMOUS CREDIT RESEARCH

Where this report contains investment recommendations for credit instruments, as defined in article 3(1)(35) of the Market Abuse Regulation, the information below is presented to comply with its disclosure requirements.

The report may also include reference(s) to published opinions by other Autonomous or Bernstein analysts covering the equity securities of the issuer(s) referenced herein. Please note an investment recommendation for credit instruments published by the author(s) of this report may differ from the published view of the analyst covering equity securities for the issuer(s) contained in this report and vice versa.

CREDIT RATINGS DEFINITIONS

The Autonomous brand has three categories of credit ratings:

- Credit Outperform (C-OP): The total return of the Reference Credit Instrument is expected to outperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.

- **Credit Neutral (C-N):** The total return of the Reference Credit Instrument is expected to perform in line with the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.
- **Credit Underperform (C-UP):** The total return of the Reference Credit Instrument is expected to underperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous credit ratings are based on a 6-month time horizon.

A list of all investment recommendations produced by the author(s) of this report alongside credit ratings history are available upon request.

It is at the sole discretion of the Firm as to when to initiate, update and cease research coverage. The Firm has established, maintains and relies on information barriers to control the flow of information contained in one or more areas (i.e. the private side) within the Firm, and into other areas, units, groups or affiliates (i.e. public side) of the Firm

DISTRIBUTION OF EQUITY RATINGS/INVESTMENT BANKING SERVICES

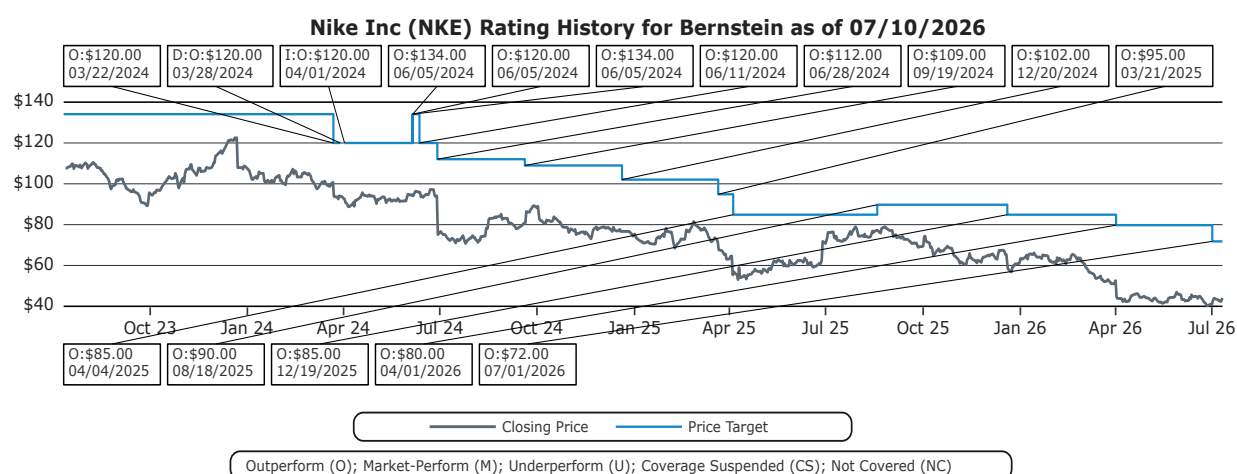
Equity Rating	Market Abuse Regulation (MAR) and FINRA Rating Category	Global Rating Distribution	Investment Banking Relationships*
Outperform	BUY	51.2%	15.3%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.8%	16.2%
Underperform	SELL	13.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.

As of June 30, 2026. All figures are updated quarterly.

PRICE CHARTS / RATINGS AND PRICE TARGET HISTORY

Prior to April 1, 2024, Sanford C. Bernstein & Co., LLC. issued the ratings and price target information in the graph(s) below for the following companies: Nike Inc.



All price target and closing price data in the chart(s) above are denominated in the currency noted in the Ticker Table of this report.

CONFLICTS OF INTEREST

Certain affiliates of Bernstein act as market maker or liquidity provider in the equities securities of: Nike Inc.

OTHER MATTERS

The legal entity(ies) employing the analyst(s) listed in this report, and their location, can be determined by the country code of their phone number, as follows:

- +1 Bernstein Institutional Services LLC; New York, New York, USA
- +44 Bernstein Autonomous LLP; London UK
- +212 Société Générale Africa Technologies & Services; Casablanca, Morocco
- +33 BSG France S.A.; Paris, France
- +34 BSG France S.A.; Madrid, Spain
- +41 Bernstein Autonomous LLP; Geneva, Switzerland
- +49 BSG France S.A.; Frankfurt, Germany
- +91 Sanford C. Bernstein (India) Private Limited; Mumbai, India
- +852 Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司; Hong Kong, China
- +65 Sanford C. Bernstein (Singapore) Private Limited; Singapore
- +81 Sanford C. Bernstein Japan KK; Tokyo, Japan

Where this report has been prepared by research analyst(s) employed by a non-US affiliate, such analyst(s), is/are (unless otherwise expressly noted below) not registered as associated persons of Bernstein Institutional Services LLC or any other SEC-registered broker-dealer and are not licensed or qualified as research analysts with FINRA. Accordingly, such analyst(s) may not be subject to FINRA's restrictions regarding (among other things) communications by research analysts with a subject company, interactions between research analysts and investment banking personnel, participation by research analysts in solicitation and marketing activities relating to investment banking transactions, public appearances by research analysts, and trading securities held by a research analyst account.

Where this report has been prepared by research analyst(s) employed by Société Générale Africa Technologies & Services (part of the Société Générale group of companies), it has been prepared on behalf of a Bernstein company under a Global Services Agreement in place between Bernstein and Société Générale.

CERTIFICATION

Each research analyst listed in this report, who is primarily responsible for the preparation of the content of this report, certifies that all of the views expressed in this publication accurately reflect that analyst's personal views about any and all of the subject securities or issuers and that no part of that analyst's compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views in this publication.

II. ADDITIONAL GLOBAL CONFLICT DISCLOSURES

It is at the sole discretion of the Firm as to when to initiate, update and cease research coverage. The Firm has established, maintains and relies on information barriers to control the flow of information contained in one or more areas (i.e., the private side) within the Firm, and into other areas, units, groups or affiliates (i.e., public side) of the Firm.

III. OTHER IMPORTANT INFORMATION AND DISCLOSURES

Separate branding is maintained for "Bernstein" and "Autonomous" research products.

- Bernstein produces a number of different types of research products including, among others, fundamental analysis and quantitative analysis under both the "Autonomous" and "Bernstein" brands. Recommendations contained within one type of research product may differ from recommendations contained within other types of research products, whether as a result of differing time horizons, methodologies or otherwise. Furthermore, views or recommendations within a research product issued under one brand may differ from views or recommendations under the same type of research product issued under the other

brand. The Research Ratings System for the two brands and other information related to those Rating Systems are included in the previous section.

- Autonomous operates as a separate business unit within the following entities: Bernstein Institutional Services LLC, Bernstein Autonomous LLP, Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司 and Sanford C. Bernstein (India) Private Limited. For information relating to “Autonomous” branded products (including certain Sales materials) please visit: www.autonomous.com. For information relating to Bernstein branded products please visit: www.bernsteinresearch.com.

Analysts are compensated based on aggregate contributions to the research franchise as measured by account penetration, productivity and proactivity of investment ideas. No analysts are compensated based on performance in, or contributions to, generating investment banking revenues.

This report has been produced by an independent analyst as defined in Article 3 (1)(34)(i) of EU 596/2014 Market Abuse Regulation (“MAR”) and the same article of MAR as it forms part of United Kingdom domestic law by virtue of the European Union (Withdrawal) Act 2018.

To our readers in the United States: Bernstein Institutional Services LLC, a broker-dealer registered with the U.S. Securities and Exchange Commission (“SEC”) and a member of the U.S. Financial Industry Regulatory Authority, Inc. (“FINRA”) is distributing this publication in the United States and accepts responsibility for its contents. Where this material contains an analysis of debt product(s), such material is intended only for institutional investors and is not subject to the US independence and disclosure standards applicable to debt research prepared for retail investors.

Bernstein Institutional Services LLC may act as principal for its own account or as agent for another person (including an affiliate) in sales or purchases of any security which is a subject of this report. This report does not purport to meet the objectives or needs of any specific individuals, entities or accounts.

To our readers in Canada: If this publication pertains to a Canadian domiciled company, it is being distributed in Canada by Sanford C. Bernstein (Canada) Limited, which is licensed and regulated by the Canadian Investment Regulatory Organization. If the publication pertains to a non-Canadian domiciled company, it is being distributed by Bernstein Institutional Services LLC, which is licensed and regulated by both the SEC and FINRA, into Canada under the International Dealers Exemption.

This document may not be passed onto any person in Canada unless that person qualifies as “permitted client” as defined in Section 1.1 of NI 31-103.

To our readers in Brazil: This report has been prepared by Bernstein Institutional Services LLC, and Banco BTG Pactual S.A. (“BTG”) is responsible for the distribution of this report in Brazil.

To readers in the United Kingdom: This publication has been issued or approved for issue in the United Kingdom by Bernstein Autonomous LLP, authorised and regulated by the Financial Conduct Authority and located at 60 London Wall, London EC2M 5SH, +44 (0)20-7170-5000. Registered in England & Wales No OC343985.

This document is for distribution only to persons who (i) have professional experience in matters relating to investments falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (as amended, the “Financial Promotion Order”), (ii) are persons falling within Article 49(2)(a) to (d) (“high net worth companies, unincorporated associations, etc.”) of the Financial Promotion Order, (iii) are outside the United Kingdom, or (iv) are persons to whom an invitation or inducement to engage in investment activity (within the meaning of section 21 of the FSMA) in connection with the issue or sale of any securities may otherwise lawfully be communicated or caused to be communicated (all such persons together being referred to as “relevant persons”). This document is directed only at relevant persons and must not be acted on or relied on by persons who are not relevant persons. Any investment or investment activity to which this document relates is available only to relevant persons and will be engaged in only with relevant persons.

To our readers in the member states of the EEA: This publication is being distributed by BSG France SA, which is authorised and regulated by the Autorité de Contrôle Prudentiel et de Résolution (ACPR) and Autorité des Marchés Financiers (AMF).

To our readers in Hong Kong: This publication is being distributed in Hong Kong by Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, which is licensed and regulated by the Hong Kong Securities and Futures Commission (Central Entity No. AXC846) to carry out Type 4 (Advising on Securities) regulated activities and subject to the licensing conditions mentioned in the SFC Public Register (<https://www.sfc.hk/publicregWeb/corp/AXC846/details>). This publication is solely for professional investors, as defined in the Securities and Futures Ordinance (Cap. 571). The purpose of this report is solely to provide an analysis of the issuers referred to in this report and is not intended for any purpose contrary to the laws of Hong Kong.

To our readers in Singapore: This publication is being distributed in Singapore by Sanford C. Bernstein (Singapore) Private Limited, only to accredited investors or institutional investors, as defined in the Securities and Futures Act 2001 of Singapore ("SFA"). Recipients in Singapore should contact Sanford C. Bernstein (Singapore) Private Limited in respect of matters arising from, or in connection with, this publication. Sanford C. Bernstein (Singapore) Private Limited is regulated by the Monetary Authority of Singapore and licensed under the SFA as a capital markets services licence holder for dealing in capital markets products that are securities and collective investment schemes and an exempt financial adviser for advising on, issuing and promulgating analyses and reports on securities. Sanford C. Bernstein (Singapore) Private Limited is registered in Singapore with Company Registration No. 20213710W and located at 8 Marina Boulevard, #12-01, Marina Bay Financial Centre, Singapore 018981, +65-6326-7000.

To our readers in the People's Republic of China: The securities referred to in this document are not being offered or sold and may not be offered or sold, directly or indirectly, in the People's Republic of China (for such purposes, not including the Hong Kong and Macau Special Administrative Regions or Taiwan, the "PRC") in contravention of any applicable laws of the PRC.

This document does not constitute an offer to sell or the solicitation of an offer to buy any securities in the PRC to any person to whom it is unlawful to make the offer or solicitation in the PRC.

We do not represent that this document may be lawfully distributed, or that any securities may be lawfully offered, in compliance with any applicable registration or other requirements in the PRC, or pursuant to an exemption available thereunder, or assume any responsibility for facilitating any such distribution or offering. In particular, no action has been taken by us which would permit a public offering of any securities or distribution of this document in the PRC. Accordingly, the securities are not being offered or sold within the PRC by means of this document or any other document. Neither this document nor any advertisement or other offering material may be distributed or published in the PRC, except under circumstances that will result in compliance with any applicable laws and regulations.

To our readers in Japan: This publication is being distributed in Japan by Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社), which is registered in Japan as a Financial Instruments Business Operator with the Kanto Local Finance Bureau (registration number: The Director-General of Kanto Local Finance Bureau (FIBO) No.3387) and regulated by the Financial Services Agency. It is also a member of Investment Management Association of Japan. This publication is solely for qualified institutional investors in Japan only, as defined in Article 2, paragraph (3), items (i) of the Financial Instruments and Exchange Act.

For the institutional client readers in Japan who have been granted access to the Bernstein website by Daiwa Securities Group Inc. ("Daiwa"), your access to this document should not be construed as meaning that Bernstein is providing you with investment advice for any purposes. Whilst Bernstein has prepared this document, your relationship is, and will remain with, Daiwa, and Bernstein has neither any contractual relationship with you nor any obligations towards you.

To our readers in Australia: Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司 is responsible for distributing research in Australia. It is regulated by the Securities and Exchange Commission under U.S. laws, by the Financial Conduct Authority under U.K. laws, which differs from Australian laws. Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司 is exempt from the requirement to hold an Australian financial services license under the Corporations Act 2001 in respect of the provision of the following financial services to wholesale clients:

- providing financial product advice;
- dealing in a financial product;
- making a market for a financial product; and
- providing a custodial or depository service.

To our readers in India: This publication is being distributed in India by Sanford C. Bernstein (India) Private Limited (SCB India) which is licensed and regulated by Securities and Exchange Board of India ("SEBI") as a research analyst entity under the SEBI (Research Analyst) Regulations, 2014, having registration no. INH000006378 and as a stock broker having registration no. INZ000213537. SCB India is currently engaged in the business of providing research and stock broking services. Please refer to www.bernsteinresearch.in for more information.

- SCB India is a Private limited company incorporated under the Companies Act, 2013, on April 12, 2017 bearing corporate identification number U65999MH2017FTC293762, and registered office at Level 3A, 4th Floor, First International Financial Centre, Plot Nos C-54 and C-55, G Block, Near CBI Office, Bandra Kurla Complex, Bandra (East), Mumbai 400098, Maharashtra, India (Phone No: +91-22-68421401).

- For details of Associates (i.e., affiliates/group companies) of SCB India, kindly email MUM-BERNSTEIN-InCompliance@bernsteinsg.com.
- SCB India does not have any disciplinary history as on the date of this report.
- Except as noted above, SCB India and/or its Associates (i.e., affiliates/group companies), the Research Analysts authoring this report, and their relatives
 - do not have any financial interest in the subject company
 - do not have actual/beneficial ownership of one percent or more in securities of the subject company;
 - is not engaged in any investment banking activities for Indian companies, as such;
 - have not managed or co-managed a public offering in the past twelve months for any Indian companies;
 - have not received any compensation for investment banking services or merchant banking services from the subject company in the past 12 months;
 - have not received compensation for brokerage services from the subject company in the past twelve months;
 - have not received any compensation or other benefits from the subject company or third party related to the specific recommendations or views in this report; and
 - do not currently, but may in the future, act as a market maker in the financial instruments of the companies covered in the report.
 - do not have any conflict of interest in the subject company as of the date of this report.
- Except as noted above, the subject company has not been a client of SCB India during twelve months preceding the date of distribution of this research report. Neither SCB India nor its Associates (i.e., affiliates/group companies) have received compensation for products or services other than investment banking, merchant banking or brokerage services from the subject company in the past twelve months.
- The principal research analyst(s) who prepared this report, members of the analysts' team, and members of their households are not an officer, director, employee or advisory board member of the companies covered in the report.
- Our Compliance officer / Grievance officer is Ms. Rupal Talati, who can be reached at +91-22-68421451, or MUM-BERNSTEIN-InCompliance@bernsteinsg.com / Scbin-investorgrievance@bernsteinsg.com
- The Research investor charter and Terms & Conditions of SCB India are available on its website and may be accessed at [Sanford C. Bernstein \(India\) Private Limited](https://bernsteinresearch.in/) (https://bernsteinresearch.in/) for your reference.
- Disclaimer: Registration granted by SEBI, and certification from NISM, is in no way a guarantee of performance of the intermediary or provide any assurance of returns to investors. Investments in securities market are subject to market risks. Read all the related documents carefully before investing.

To our readers in Switzerland: This document is provided in Switzerland by or through Bernstein Autonomous LLP, and is provided only to qualified investors as defined in article 10 of the Swiss Collective Investment Scheme Act ("CISA") and related provisions of the Collective Investment Scheme Ordinance and in strict compliance with applicable Swiss law and regulations. The products mentioned in this document may not be suitable for all types of investors. This document is based on the Directives on the Independence of Financial Research issued by the Swiss Bankers Association (SBA) in January 2008.

To our readers in the Middle East: Bernstein Autonomous LLP, DIFC branch has its principal office at Gate Village 06, DIFC, Dubai, UAE. Bernstein Autonomous LLP, DIFC branch is regulated by the Dubai Financial Services Authority (DFSA) with the registration number CL10040 and is provisioned for Arranging Deals in Investments and Advising on Financial Products. All communications and services are directed at Professional Clients and Market Counterparties only (as defined in the DFSA rulebook). Persons other than Professional Clients and Market Counterparties, such as Retail Clients, are not the intended recipients of our communications or services.

LEGAL

All research publications are disseminated to our clients through posting on the firm's password protected websites, bernsteinresearch.com and autonomous.com. Certain, but not all, research publications are also made available to clients through third-party vendors or redistributed to clients through alternate electronic means as a convenience.

This publication has been published and distributed in accordance with the Firm's policy for management of conflicts of interest in investment research, a copy of which is available from Bernstein Institutional Services LLC, Director of Compliance, 245 Park Avenue, New York, NY 10167. Additional disclosures and information regarding Bernstein's business are available on our website www.bernsteinresearch.com.

The securities described herein may not be eligible for sale in all jurisdictions or to certain categories of investors where that permission profile is not consistent with the licenses held by the entities noted herein. This document is for distribution only as may be permitted by law. This publication is not directed to, or intended for distribution to or use by, any person or entity who is a citizen or resident of, or located in any locality, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or which would subject any of the entities referenced herein or any of their subsidiaries or affiliates to any registration or licensing requirement within such jurisdiction. This publication is based upon public sources we believe to be reliable, but no representation is made by us that the publication is accurate or complete. We do not undertake to advise you of any change in the reported information or in the opinions herein. This publication was prepared and issued by entity referred to herein for distribution to eligible counterparties or professional clients. This publication is not an offer to buy or sell any security, and it does not constitute investment, legal or tax advice. The investments referred to herein may not be suitable for you. Investors must make their own investment decisions in consultation with their professional advisors in light of their specific circumstances. The value of investments may fluctuate, and investments that are denominated in foreign currencies may fluctuate in value as a result of exposure to exchange rate movements. Information about past performance of an investment is not necessarily a guide to, indicator of, or assurance of, future performance.

This report is directed to and intended only for our clients who are "eligible counterparties", "professional clients", "institutional investors" and/or "professional investors" as defined by the aforementioned regulators, and must not be redistributed to retail clients as defined by the aforementioned regulators. Retail clients who receive this report should note that the services of the entities noted herein are not available to them and should not rely on the material herein to make an investment decision. The result of such act will not hold the entities noted herein liable for any loss thus incurred as the entities noted herein are not registered/ authorised/ licensed to deal with retail clients and will not enter into any contractual agreement/arrangement with retail clients. This report is provided subject to the terms and conditions of any agreement that the clients may have entered into with the entities noted herein. All research reports are disseminated on a simultaneous basis to eligible clients through electronic publication to our client portal.

The information in this report was prepared by Bernstein solely for the internal business use of our clients. Clients may store, display, analyze, reformat and print the information in this report for this limited use only. Clients may not copy, alter, create derivative works, resell, reverse engineer, commercially exploit, share or distribute any part of the information contained herein for any purpose without Bernstein's express written consent. These restrictions include extracting data or using the content to develop indices or other products. Further, you may not use this report, or any portion of this report, to train or finetune any third-party machine learning or artificial intelligence system, or as a prompt or input into any such system. You also may not, without Bernstein's express written consent, do any of the foregoing in connection with your own internal machine learning or artificial intelligence system.

Bernstein may use artificial intelligence tools in the preparation of its materials. Any such materials are reviewed by Bernstein's research analysts prior to publication.

This report has been prepared for information purposes only and is based on current public information that we consider reliable, but the entities noted herein do not warrant or represent (express or implied) as to the sources of information or data contained herein are accurate, complete, not misleading or as to its fitness for the purpose intended even though the entities noted herein rely on reputable or trustworthy data providers, it should not be relied upon as such. Opinions expressed are the author(s)' current opinions as of the date appearing on the material only and we do not undertake to advise you of any change in the reported information or in the opinions herein.

Any references to Societe Generale herein are purely factual, based upon publicly available information, and included for comparative purposes only. They do not constitute an opinion or recommendation with respect to the securities of Societe Generale.

This publication was prepared and issued by the entity referred to herein for distribution to eligible counterparties or professional clients. The information in this report is intended for general circulation and does not constitute an offer to buy or sell any security, investment, legal or tax advice nor a personal recommendation, as defined by any of the aforementioned regulators. It does not take into account the particular investment objectives, financial situations, or needs of individual investors. The report has not been

reviewed by any of the aforementioned regulators and does not represent any official recommendation from the aforementioned regulators. The investments referred to herein may not be suitable for you. Investors must make their own investment decisions in consultation with advice sought from a financial adviser regarding the suitability of the investment product, taking into account the specific investment objectives, financial situation or particular needs of any recipient of the recommendation, before the recipient makes a commitment to purchase the investment product.

The analysis contained herein is based on numerous assumptions. Different assumptions could result in materially different results. The information in this report does not constitute, or form part of, any offer to sell or issue, or any offer to purchase or subscribe for shares, or to induce engagement in any other investment activity. The value of any securities or financial instruments mentioned in this report may fluctuate subject to market conditions. Information about past performance of an investment is not necessarily a guide to, indicative of, or assurance of future performance. Estimates of future performance mentioned by the research analyst in this report are based on assumptions that may not be realized due to unforeseen factors like market volatility/fluctuation. In relation to securities or financial instruments denominated in a foreign currency other than the clients' home currency, movements in exchange rates will have an effect on the value, either favorable or unfavorable. Before acting on any recommendations in this report, recipients should consider the appropriateness of investing in the subject securities or financial instruments mentioned in this report and, if necessary, seek independent professional advice.

The securities described herein may not be eligible for sale in all jurisdictions or to certain categories of investors where that permission profile is not consistent with the licenses held by the entities noted herein. This document is for distribution only as may be permitted by law. It is not directed to, or intended for distribution to or use by, any person or entity who is a citizen or resident of or located in any locality, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or would subject the entities noted herein to any regulation or licensing requirement within such jurisdiction.

Source: Bloomberg Index Services Limited. BLOOMBERG® is a trademark and service mark of Bloomberg Finance L.P. and its affiliates (collectively "Bloomberg"). Bloomberg or Bloomberg's licensors own all proprietary rights in the Bloomberg Indices. Neither Bloomberg nor Bloomberg's licensors approves or endorses this material, or guarantees the accuracy or completeness of any information herein, or makes any warranty, express or implied, as to the results to be obtained therefrom and, to the maximum extent allowed by law, neither shall have any liability or responsibility for injury or damages arising in connection therewith.

No part of this material may be reproduced, distributed or transmitted or otherwise made available without prior consent of the entities noted herein. Copyright Bernstein Institutional Services LLC Bernstein Autonomous LLP, BSG France S.A., Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited and Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社). All rights reserved. The trademarks and service marks contained herein are the property of their respective owners. Any unauthorized use or disclosure is strictly prohibited. The entities noted herein may pursue legal action if the unauthorized use results in any defamation and/or reputational risk to the entities noted herein and research published under the Bernstein and Autonomous brands.